

this method of wealth acceleration is not what they use. They don't tell you plenty, and yet you're supposed to believe it without question.

UNCONTROLLABLE LIMITED LEVERAGE (ULL) - PART 2

For compound interest to be effective, you need three things:

- 1) TIME, as measured in years.
- 2) A favorable YEARLY INVESTMENT YIELD within those years.
- 3) An INVESTED SUM, repeatedly invested.

These three variables make up the latter portion of our Slowlane wealth equation:

$$\text{Compound Interest} = \text{Invested Sum} \times (1 + \text{Yield})^{\text{time}}$$

Although this is a simplified version of a more complicated equation, the point of this analysis is its variable components. Compound interest demands that your investments yield a predictable 10% return per year. Good luck with that 40-year gamble. Have the markets ever lost 20% in one year? Or 40%? They have, and when they do, your hard-earned savings evaporate.

You see, wealth acceleration via *compound interest is deficient because its variables are deficient*. Neither time nor yield can be leveraged or controlled. Again, meet my friend Uncontrollable Limited Leverage.

Can you demand a 2,000% return on your money this year? Can you demand your investment time horizon increase from the standard 40 years to 400 years? Again, the numbers can't be leveraged. Your upper limit of time investment horizon is 50 years. Yield is worse—6%, 8%, or 10% yearly investment returns are typical standards. Time is restrained by the years in your life, yield is restrained by the average yield of typical market investments, and sum is limited because your means of creating income comes from a job—also limited! The only way to subvert the mathematical weakness of compound interest is to *start with a large number, and large numbers require leverage!*

Additionally, like a job, you can't control compound interest. Can you demand your bank pay 25% interest on your savings? Hey, Mr. Slowlane Bank, I demand a 25% yield on my savings account! Can you control the economy? Hey, Mr. Economy, can you guarantee me low unemployment and a business-friendly tax environment? Can you control the average yield of the stock market? Hey, Mr. Stock Market, I'm tired of 8% returns, can you give me 250% this year? Funny stuff! Can you control anything in this equation other than a furious, labor-intensive search for the best investments to ensure you eek out another marginal 1%? You can't.